WARRANTY ATLAS · New Jersey (NJ)

Law last amended: 2025 (eff. 2026-04-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-11-02

Cites: N.J. Stat. Ann. § 56:10-15(a), (d), (j)(3), (l)-(n) (as amended by P.L.2025, c.140, § 7); N.J. Stat. Ann. § 56:10-15(f), (p) (claims; audits; chargebacks); N.J. Stat. Ann. §§ 56:10-10 (franchisee action), 56:10-34 (association standing)
Flagged state (northern counties only).

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	OEM time x multiplier	§ 56:10-15(m)
Mfr-backed service contract	**Conditional**	OEM time x multiplier	§ 56:10-15 (intro); (g); (h)
CPO warranty	**Conditional**	OEM time x multiplier	§ 56:10-15 (intro)
Independent service contract	**Conditional**	OEM time x multiplier	§ 56:10-15 (intro)

Hourly rate: Average retail labor rate: 100 sequential customer-paid ROs or 90 days of them, whichever is less, no older than 180 days; total labor charges x 1.0 divided by total labor hours. The rate takes effect 30 days after declaration, subject to audit of the submitted sample only. At most two changes to rate, time allowance or parts markup per calendar year.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: no rule in statute. Written notice of the grounds for disapproval. No denial or chargeback 'due to an administrative or scrivener's error'. Denial or chargeback requires the franchisor to prove a lack of good-faith compliance with reasonable written procedures, work not performe…	N.J. Stat. Ann. § 56:10-15(f), (p)
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: No time limit if the franchisor has reasonable grounds to believe the…. Paid claims may be charged back only if false or fraudulent, the labor was not properly performed, the work was unnecessary, or the claim was not reasonably substantiated under reasonable written requirements notified beforehand ((f)). Written notice is due w…	N.J. Stat. Ann. § 56:10-15(f), (p)
Rate resubmission	no more than twice per calendar year. The cap is written jointly for requests to change the parts markup, labor time allowance, or retail labor rate.. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Routine maintenance, Prep / reconditioning, Accessories, Collision / body / glass, Insurance-paid, State inspections, Goodwill, Government, Tires, Alignments, Internal.	N.J. Stat. Ann. § 56:10-15(l); exclusions (j)(3); frequency…
Mfr response	Silent; no response = approved: Yes. Challenge: Audit-only. Any proposed adjustment 'shall be based solely on an audit of that sample'. No market-comparison or reasonableness test. Forum: Superior Court action under the Franchise Practices Act (§ 56:10-10).	N.J. Stat. Ann. § 56:10-15(a), (l)
Penalties	§ 56:10-10: Superior Court action for damages and, where appropriate, injunctive relief. A successful franchisee recovers costs, including reasonable attorney's fees. § 56:10-34 (P.L.2025, c.140): dealer associations have standing to sue on members' behalf.	N.J. Stat. Ann. §§ 56:10-10, 56:10-34
Audit procedures	Audit climate score 51/100 (Very high restrictiveness; chargeback limits 42/75 + process and oversight 9/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: yes; frequency cap: none; written reasons: yes; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission.	

Statute quotes

Claims *(N.J. Stat. Ann. § 56:10-15(f), (p)): "All claims for reimbursement shall be approved or disapproved within 30 days after receipt of the claim by the motor vehicle franchisor."*
Chargebacks *(N.J. Stat. Ann. § 56:10-15(f), (p)): "A motor vehicle franchisor shall not audit a claim after the expiration of 12 months following the payment of the claim unless the motor vehicle franchisor has reasonable grounds to believe that the claim was fraudulent"*
Rate *(N.J. Stat. Ann. § 56:10-15(l); exclusions (j)(3); frequency…): "The average retail labor rate shall be calculated by multiplying the total labor charges in the sample by 1.0 and dividing that amount by the total number of labor hours in the sample."*
Factory time *(§ 56:10-15(m)): "at the motor vehicle franchisee's discretion, an established average retail labor time allowance, in lieu of the motor vehicle franchisor's labor time guide for franchisor-paid repairs or service"*

Notes

DATE-SENSITIVE: the text above took effect 4/1/2026 and applies to franchise agreements in effect on or after that date. Earlier causes of action are governed by prior law. The rate takes effect automatically at 30 days, and the statute sets no deadline for the franchisor's audit or adjustment. Optional labor-time multiplier ((m)): hours billed on 100 sequential (or 90 days of) customer-pay ROs divided by franchisor-guide hours for the same repairs, applied to the franchisor time guide. Dealers must pass labor pay through to factory-certified flat-rate technicians. Scope covers repair service 'offered and reimbursed by the motor vehicle franchisor', including warranty, extended warranty, maintenance plan, service-related plan and recall. It reaches affiliates and 1%+ owners ((g)) and franchisor-administered plans in the four (h) situations. When the franchisor supplies EV propulsion bat…

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